Many eventually recovered, but the people who depended on their dividends went through some lean times. So if you're going to invest in stocks for income, you need to assess the degree of risk.

Dividend income, I would rate a 4-5. There can also be growth, because the stock can appreciate. I would rate the risk about 6-7. It's a good place to put some money, but not for those needing income.

MONEY FUNDS: Money funds are pooled savings accounts. Basically they pool the savings of many people and use their funds to purchase short-term securities. These are not true savings accounts. They are short-term mutual funds that pay interest. The value of the shares you buy are normally $1 per share, but can vary depending on the fund's asset value. Most are not insured against losses, but on the plus side, you can invest as little or as much as you desire into them. Money funds are available through most brokerage firms, savings and loans, or banks. The interest rates vary directly with the current interest rates.

Money funds have a higher degree of risk than the large banks or credit associations. I would rate their income at 4-5 and the risk factor at 7-8. In my opinion, money funds are a place to park money temporarily.

36 TIER #3: GROWTH INVESTMENTS

This tier is in the middle and thus represents the crossover from the conservative to the speculative. During one cycle of the economy these investments appear to be conservative. Then during the next cycle they appear to be speculative.

A good example of this is farm land. During the highly inflationary '70s, farm land was a hot investment. People speculated in farm land just as they did in commercial real estate. This drove prices up and, unfortunately, tempted farmers to speculate in land.

The '80s saw inflation subside and farm prices level out.